

25TRCV01265 25TRCV01265

County: los-angeles

Division: Civil Law and Motion

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Case Number: 25TRCV01265 Hearing Date: August 31, 2026 Dept: E

Superior Court of California

County of Los Angeles

Southwest District

Torrance Dept. E

FLIPTSIDE,

LLC, a California limited liability company

Plaintiff,

Case No.:

25TRCV01265

vs.

[Tentative]

Sustained/overruled

DAWN

LEWIS, an individual, NEW DAWN REAL ESTATE, a company of unknown form; REAL BROKERAGE LOS ANGELES, a California corporation; REAL BROKERAGE, LLC, a limited liability company of unknown origin; and DOES 1 through 30, inclusive,

Defendants.

Hearing

Date: September

1, 2026

Moving Parties: Defendant Real Brokerage Technologies

Responding Party: Plaintiff

Flipside LLC

HEARING: Demurrer

The Court considered the moving,
opposition, and reply papers.

RULING

The Court
sustains the Demurrer as to the first and third causes of action with leave to
amend.

The Court overrules the
Demurrer as to the second cause of action.

BACKGROUND

On April
18, 2025, Plaintiff Flipside LLC filed the Complaint against Defendants Dawn
Lewis, New Dawn Real Estate, Real Brokerage Los Angeles, and Real Brokerage
LLC, alleging causes of action for breach of contract, breach of fiduciary
duty, and negligence.

On April 1, 2026,
Defendant Real Brokerage Technologies filed the Demurrer.

On April 23, 2026,
Plaintiff filed the Opposition.

On April 29, 2026,

Defendant filed the Reply.

JUDICIAL NOTICE

The Court may take judicial notice of records of (1) any court of this state or (2) any court of record of the United States or of any state of the United States. (Evid. Code § 452 subd. (d).) The Court may also take judicial notice of “Official acts of the legislative, executive, and judicial departments of the United States and of any state of the United States.” (Evid. Code § 452 subd. (c).)

Plaintiff requests that the Court take judicial notice of the Statement of Information for Real Brokerage Technologies filed May 29, 2024, with the California Secretary of State, the State of California Department of Real Estate license information for Dawn Marie Lewis, the State of California Department of Real Estate license information for Real Brokerage Technologies, the Fictitious Business Name Statement by registrant Real Brokerage Technologies, filed May 17, 2017, in the Official Records of San Diego County, and the Fictitious Business Name Statement by registrant Real Brokerage Technologies, Inc., filed May 16, 2022, in the Official Records of San Diego County.

The Court grants Plaintiff's request pursuant to Evidence Code section 452 subdivision (c).

LEGAL STANDARD

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) “To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged.” (C.A. v. William S. Hart Union High School Dist. (2012)

53 Cal.4th 861, 872.) For the purpose of testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th

962, 966-967.) A demurrer “does not admit contentions, deductions or conclusions of fact or law.” (Daar v. Yellow Cab Co. (1967) 67 Cal.2d 695, 713.)

A pleading is uncertain if it is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) A demurrer for uncertainty may lie if the failure to label the parties and claims renders the complaint so confusing defendant cannot tell what he or she is supposed to respond to. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2.) However, “[a] demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.)

DISCUSSION

Meet and confer

Before filing a demurrer, “the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (Code Civ. Proc., § 430.41, subd. (a).)

On March 27, 2026, the parties met telephonically regarding the Demurrer. Therefore, Defendant has satisfied the meet and confer requirements.

First Cause of Action – Breach of Contract

The elements of breach of contract are (1) the existence of a contract; (2) the plaintiff's performance or a valid excuse for nonperformance; (3) the defendant's breach or anticipatory breach of the contract; and (4) resulting damage to the plaintiff. (Wall Street Network, Ltd. v. N. Y. Times Co. (2008) 164 Cal.App.4th 1171, 1178.)

Defendant argues that the breach of contract claim fails because Plaintiff does not allege facts sufficient to establish any of the required elements. Defendant

emphasizes that the Complaint contains only conclusory allegations, such as assertions that Defendant is liable or acted as an agent, which are not accepted as true on demurrer. There are no factual allegations showing that Defendant entered into any contract with Plaintiff, that Plaintiff performed under such a contract, or that Defendant breached any contractual obligation.

Defendant further argues that the governing purchase agreement expressly disclaims responsibility for investigating title or public records, which defeats any claim based on a failure to verify ownership. This limitation is consistent with Civil Code section 2079.3, which does not require agents to inspect public records or title matters. Finally, Defendant asserts that Plaintiff fails to allege any damages caused by Defendant.

In opposition, Plaintiff argues the demurrer should be overruled because the Complaint adequately pleads all elements of a breach of contract claim against Defendant. Plaintiff identifies the contract as a written Referral Fee Agreement under which Defendant, through its agent Dawn Lewis, agreed to receive one percent of the purchase price for referring the transaction. Plaintiff alleges it performed by paying the agreed referral fee. Plaintiff further alleges Defendant, through its agent, breached duties arising from the agreement by failing to exercise due diligence in verifying the true identity and ownership of the purported seller, instead presenting an impostor as the property owner and facilitating the transaction without proper investigation.

Plaintiff contends these failures constitute a breach of contractual and professional obligations, including duties to act competently, in good faith, and to protect the purchaser from fraud. Plaintiff alleges substantial damages resulting from the transaction, including over \$1.36 million in purchase-related payments, additional post-closing costs and improvements, and the referral fee paid for services that were not properly performed. Based on these allegations, Plaintiff maintains the claim is sufficiently pled and should proceed.

As to the agency allegations, “generally, an allegation of agency is an allegation of ultimate fact and is, of itself, sufficient to avoid a demurrer.” (Garton v. Title Ins. & Trust Co. (1980) 106 Cal.App.3d 365, 376.) Plaintiff has provided Defendant Dawn Lewis's Real Estate License, which lists Defendant Real Brokerage Technologies as her Responsible Broker. A salesperson is an agent of their listed broker as a

matter of law. (Gipson v. Davis Realty Co. (1963) 215 Cal.App.2d 190, 206-207.) Thus, the Court finds that the Complaint sufficiently alleges that Defendant Lewis was an agent of Defendant Real Brokerage Technologies.

Here, the Complaint

alleges that “as the real estate agents, said Defendants owed implied and express contractual duties to FLIPTSIDE to act competently and in good faith towards FLIPTSIDE as purchaser of the Property. Said Defendants owed a contractual duty to locate and identify the true owner of the Property, to use due diligence to obtain reliable evidence that any entity or person claiming to be owner and seller of the Property was in fact that actual owner, and to act in accord with the best practices and procedures of real estate agents to protect the purchaser from fraud and other criminal activity.” (Complaint ¶ 48.) And that” Defendants breached the implied terms of the oral and written contract when they failed to confirm the person referred to FLIPTSIDE as a bona fide seller was the actual owner of the Property. Said Defendants failed to confirm true ownership of the Property, and failed to investigate the recording of documents purporting to change ownership at or about the same time as the opening of escrow. Transfers of title concurrent or immediately prior to the sale of a property, through the recording of grand deeds purportedly executed over 20 years before they were recorded, should have raised skepticism and caused heightened diligence on the part of said Defendants because owners do not typically wait 20 years to record grant deeds, nor do owners normally change title to property concurrent or immediately prior to executing purchase agreements and opening escrow.” (Complaint ¶ 49.)

However, the Residential

Purchase agreement reads “Buyer and Seller acknowledge and agree that Agent ... shall not be responsible for inspecting public records or permits concerning the title or use of Property... shall not be responsible for providing other advice or information that exceeds the knowledge, education, and experience required to perform real estate licensed activity.” (Complaint Exhibit 3 ¶ 18.) Thus, Defendant had no duty to investigate the property's title. Furthermore, the Complaint fails to allege any other contractual duty that Defendants breached.

Therefore, the Court

sustains the Demurrer as to the first cause of action with leave to amend.

Second Cause

of Action – Breach of Fiduciary Duty

“To establish a cause of action for breach of fiduciary duty, a plaintiff must demonstrate the existence of a fiduciary relationship, breach of that duty, and damages.” (Charnay v. Cobert (2006) 145 Cal.App.4th 170, 182.)

Here, Defendant argues that the Contract excluded any duties related to the investigation of title. However, the fiduciary duty between a real estate agent and their client cannot be contractually excluded, as the duty arises from the relationship, not the contract. (William L. Lyon & Associates, Inc. v. Superior Court (2012) 204 Cal.App.4th 1294, 1312.)

Thus, the Court finds that the Complaint adequately alleges a breach of fiduciary duty claim against Defendant based on the actions of its agent.

Therefore, the Court overrules the Demurrer as to the second cause of action.

Third Cause
of Action – Negligence

“The elements of a cause of action for negligence are well established. They are (a) a legal duty to use due care; (b) a breach of such legal duty; [and] (c) the breach as the proximate or legal cause of the resulting injury.” (Ladd v. County of San Mateo (1996) 12 Cal.4th 913, 917.)

Here, Defendant argues that the Contract excluded any duties related to the investigation of title. Unlike fiduciary duties, parties may exclude duties relating to negligence by contract. (See, Loughrin v. Superior Court (1993) 15 Cal.App.4th 1188, 1192-1194 [a residential purchase contract is a private arrangement that is not of public interest; thus, exculpatory clauses are allowed].) Thus, as noted above, the parties have agreed that Defendants were not responsible for title issues.

Therefore, the Court sustains the Demurrer as to the third cause of action with leave to amend.